has no starting capital spots an arbitrage opportunity to buy DAI on a DEX for 0.95 USDC. The trader can capitalize on this arbitrage via a flash swap by withdrawing 950 USDC of flash liquidity (liquidity derived from a flash loan) from the DAI/USDC market, purchase 1,000 DAI via the described arbitrage trade, and repay 963 DAI for a profit of 37 DAI – all consummated with no initial capital. The figure of 963 is calculated as 960 (with rounding for ease of illustration) to maintain the 10 billion invariant and to account for some slippage, plus a 0.30 percent*960 = 3 DAI transaction fee paid into the pool owned by the liquidity providers.

An important point about Uniswap is the release of a governance token in September 2020 called UNI. Like COMP, the Compound governance token, UNI is distributed to users to incentivize liquidity in key pools including ETH/USDC and ETH/DAI. The UNI governance even has some control over its own token distribution because 43 percent of the supply will be vested over four years to a treasury controlled by UNI governance. Importantly, each unique Ethereum address that had used Uniswap before a certain cutoff date (over 250,000 addresses) was given 400 UNI tokens as a free airdrop. At the same time as the airdrop, UNI was released on Uniswap and the Coinbase Pro exchange for trading. The price per token opened around $3 with a total market cap of over $500 million, amounting to $1,200 of liquid value distributed directly to each user. This flood of supply could have led to selling pressure that tanked the token price. Instead, the token price